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DAWN BUSINESS

# 18pc sales tax cripples cotton ginning

Factories shut a month after opening as spot rate down Rs4,000 to Rs17,500

By Amjad Mahmood

LAHORE: In an unprecedented crisis for Pakistan's textile backbone, several cotton ginning factories in Tando Adam and other key towns have begun shutting down just one month after becoming operational, marking a devastating first in the country's history.

The sudden shutdowns result directly from the federal government's failure to reduce the crushing 18 per cent sales tax on the cotton ginning sector in the recent federal budget.

This legislative oversight has triggered a historic crash in domestic cotton prices, sending shockwaves of anxiety through farmers and millers nationwide while threatening the very survival of the local industry.

Representatives from the All Pakistan Textile Mills Association (Aptma) and cotton ginners had met with top ministry officials prior to the budget to plead for relief from the heavy tax burden.

Even after the budget speech, federal ministers and high-ranking bureaucrats explicitly assured them that the 18pc sales tax on cottonseed and oil cake would be abolished, and the tax on raw cotton would be significantly reduced. Despite making 30 late amendments to the finance bill, the government provided no relief to the struggling sector.

This broken promise has triggered a massive market crash across the country. The Karachi Cotton Association's spot rate plummeted by Rs4,000 to land at Rs17,500 per maund. In the provincial markets, Punjab cotton prices plunged by Rs5,000 to Rs17,800 per maund, while Sindh cotton fell by Rs4,000 to match the spot rate of Rs17,500 per maund.

The downstream products hit even harder, with cottonseed (phutti) tumbling from Rs4,800 down to Rs3,400 per maund, and oil cake dropping from Rs5,200 to Rs3,500 per maund, with experts warning that prices are expected to slide even further.

The economic disaster has been severely compounded by harsh environmental factors. Hareesh Kumar, President of the Tando Adam Cotton Ginners Association, released an emergency video statement confirming that heavy taxation, combined with extreme heatwaves, has drastically reduced both the quality and the lint yield of cotton from the seed.

The resulting financial losses are forcing factories to close their doors, raising serious fears that the wave of shutdowns will soon hit Sanghar and other major cotton-producing districts in Sindh, leaving farmers with fewer buyers and causing an unprecedented rise in undocumented, underground trade.

## Market manipulation

In tandem with the price crash, the Pakistan Cotton Ginners Association (PCGA) has launched a crackdown on digital market manipulation. PCGA Chairman Sham Lal Manglani issued a stern warning letter to social media information firms, ordering them to publish only verified transaction rates.

The association noted that certain digital entities are intentionally reporting deflated transaction prices to unfairly benefit specific buyers, heavily damaging market sentiment. This is not the first time the sector has faced this issue, as the PCGA recalled a previous crisis where the district administration in Bahawalpur registered criminal cases (FIRs) against social media pages spreading fake cotton data.

Cotton Ginners Forum Chairman Ihsan-ul-Haq claims the lack of tax relief is also severely compromising national data accuracy by driving the cotton economy offline. During the 2025-26 cotton year, the heavy tax burden resulted in a massive gap: the PCGA officially documented only 5.5 million bales, while the actual estimated production was closer to 7m bales, meaning nearly 1.5m bales went undocumented. For the upcoming 2026-27 cotton year, the PCGA is scheduled to release its first official production and arrival data on July 18, tracking factory arrivals and operational units.

# Cement sales rise 10pc in FY26

KARACHI: Construction activities appeared to have revived as local sales of cement during FY26 grew by 9.5 per cent to 41.507 million tonnes from 37.906m tonnes in FY25, while exports fell by 2.19pc to 9.008m tonnes from 9.210m tonnes.

Overall cement despatches (local and exports) grew by 7.21pc during FY26 to 50.515m tonnes from 47.116m tonnes in FY26.

During June, total cement despatches were 4.331m tonnes, up 18.38pc from 3.658m tonnes in the same month of the last fiscal year.

Local cement despatches rose 27pc to 3.541m tonnes compared to 2.793m tonnes in June 2025, while exports declined by 8.73pc to 789,840 tonnes from 865,387 tonnes.

The spokesperson for the All Pakistan Cement Manufacturers Association was optimistic about strong cement demand in the coming months on both the domestic and international fronts.

Rabia Yousuf of Topline Securities said total cement capacity utilisation in FY26 clocked in at 59pc compared with 56pc in FY25. Notably, local capacity utilisation improved to 50pc, compared with 45pc in FY25.— Staff Reporter

|                                                                                             |                                                                                             |
|---------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------|
| <div><div>\$</div><div>US DOLLAR</div><div>BUYING Rs278.72<br/>SELLING Rs279.36</div></div> | <div><div>€</div><div>EURO</div><div>BUYING Rs318.85<br/>SELLING Rs322.12</div></div>       |
| <div><div>£</div><div>GBP</div><div>BUYING Rs372.36<br/>SELLING Rs375.87</div></div>        | <div><div>د.ا</div><div>UAE DIRHAM</div><div>BUYING Rs75.95<br/>SELLING Rs76.57</div></div> |
| <div><div>ر.ي</div><div>KSA RYIAL</div><div>BUYING Rs74.29<br/>SELLING Rs74.88</div></div>  | <div><div>24K</div><div>GOLD</div><div>TOLA Rs440,936<br/>10 GMS Rs378,031</div></div>      |

# Stability achieved after three years: SBP chief

Sees economy expanding at 4pc in 2026-27

By Shahid Iqbal

KARACHI: Macroeconomic indicators had been improving for the last three years, helping stabilise the economy, while higher large-scale manufacturing growth and improved GDP prospects pointed to further recovery, State Bank Governor Jameel Ahmad said on Friday.

Speaking at a press conference, Mr Ahmad said the economy was expected to grow by 4 per cent in the current fiscal year (FY27), stability had been achieved and inflation had

remained within the range set for FY26.

He said the economy was gaining momentum, with growth picking up as reflected in 6pc growth in large-scale manufacturing, while growth in the sector had reached 10pc in certain months.

The governor said the expected 4pc growth in FY27 would be supported by expansion in the industrial sector.

He said inflation rose to 11.1pc in June, which was not expected, adding that the Gulf war and uncertainty arising from it had pushed up energy prices and ultimately increased inflation.

The governor expressed satisfaction over the external account, saying it had met requirements during FY26 and the State Bank had achieved its target.

He said the SBP's foreign

exchange reserves target of \$18bn had been achieved. He termed it a major achievement that had also affected the current account.

Mr Ahmed said the current account deficit had narrowed from \$17.5bn, or 4.7pc of GDP, in FY22 to \$3.3bn in FY23 and \$2.1bn in FY24, before turning into a surplus of \$2.1bn, or 0.5pc of GDP, in FY25.

The current account remained in surplus during the first 11 months (July to May) of FY26, with the SBP projecting the full-year balance to remain within 0-1pc of GDP, placing it at the lower end of the central bank's target range.

The current account data for June was not yet available, but it indicated that FY26 could end with either a very small deficit

or a slight surplus. The improved current account helped bring stability to the economy and supported a stable exchange rate throughout FY26.

The governor said foreign exchange reserves had risen to \$18.4bn from \$13bn a year earlier.

He did not mention the share of remittances in the SBP's foreign exchange reserves. Remittances have increased sharply during the last three years and crossed \$40bn. The governor expected inflows to reach \$41.5bn in FY26.

Mr Ahmad said higher reserves had eased foreign exchange constraints, supported external debt repayments and significantly reduced banks' outstanding foreign exchange liabilities from \$5.8bn in FY23 to \$950m by the end of FY26.

Despite total external debt remaining broadly unchanged at around \$100bn since FY22, foreign exchange reserves increased six-fold over the past three years, rising from about \$3bn to \$18.4bn.

Pakistan paid, including rollovers, about \$26bn in external debt servicing in FY26, while FY27 may require more.

The governor said the government's external debt profile had improved, with a gradual shift away from short-term commercial borrowing towards long-tenor multilateral financing with maturities of 20 to 25 years, resulting in a more favourable average debt maturity profile.

The SBP expects remittance inflows to increase further in FY27, reflecting continued confidence in external inflow trends.

# Companies' enrolment surpasses 300,000 mark

By Our Staff Reporter

ISLAMABAD: The number of registered companies in the country has crossed the 300,000 mark, with 43,559 new companies registered in 2025-26, a 24pc increase over the previous fiscal year.

The Securities and Exchange Commission of Pakistan has said that the total number of registered companies has reached 301,615 by the end of June.

The commission has said that this milestone reflects SECP's regulatory reforms, digital transformation, and commitment to easing the doing business environment, fostering a dynamic and transparent corporate ecosystem that promotes entrepreneurship and economic growth.

Public companies grew by 25pc, private companies by 27pc, single-member companies by 20pc, and limited liability partnerships by 28pc, while Section 42-licensed and foreign companies posted 5pc growth each in FY26.

Punjab recorded 22,364 registrations against 18,198 in the preceding fiscal year, followed by Islamabad with 8,340 against 7,117, Sindh with 6,691 against 5,124, Khyber Pakhtunkhwa with 3,820 against 3,130, Gilgit-Baltistan with 1,585 against 961, and Balochistan with 759 against 557.

# Soneri gets AA rating

KARACHI: The Pakistan Credit Rating Agency has upgraded Soneri Bank's long-term entity rating from AA- to AA, while reaffirming the short-term rating at the highest level, A+.

The upgrade reflects a structurally strengthened liability franchise, sustained earnings momentum, and continued progress in trade finance.—Staff Reporter



FAISALABAD: Finance Minister Muhammad Aurangzeb speaks at a post-budget seminar at the Faisalabad Chamber of Commerce and Industry on Friday. Discussions focused on the recently announced budgetary measures and their impact on economic strategies. —PPI

# TCP guarantee forfeiture in old urea dispute upheld

By Nasir Iqbal

ISLAMABAD: The Supreme Court on Friday settled a contractual dispute spanning more than two decades, holding that the Trading Corporation of Pakistan (TCP) was justified in forfeiting a performance guarantee after a trading company failed to deliver urea despite receiving multiple extensions.

Headed by Chief Justice of Pakistan (CJP) Yahya Afridi, a three-judge SC bench disposed of cross-appeals filed by TCP and M/s Abdullah Mezroei Metal Trading Company against a Nov 24, 2015 Sindh High Court (SHC) judgment arising from a 2005 contract for the import of 50,000 metric tonnes of urea.

The SC ruled that TCP's forfeiture of the entire performance guarantee was justified and reasonable in the circumstances of the case. It also held that the trading company was not entitled to recover damages of \$3.465 million, or any other amount, from TCP.

The court set aside the SHC judgments directing the refund of the performance guarantee, while upholding the rejection of the trading company's claim for damages. As a result, the company's appeal was dismissed.

The dispute originated after TCP

invited tenders on Aug 18, 2005 for the supply of 50,000 metric tonnes of urea. The trading company's bid of \$225 per metric tonne was accepted on Aug 31, 2005, leading to the execution of the contract.

Under the agreement, the company was required to furnish a performance guarantee equal to three per cent of the contract value within seven days of acceptance. TCP, in turn, was obliged to open a letter of credit (LC) for the full contract value within 10 days of receiving the guarantee.

The contract required shipment in three consignments, within 15, 22 and 29 days of the opening of the LC and expressly stated that time was of the essence. It also provided that the performance guarantee could be forfeited if the supplier failed to deliver the goods within the stipulated period or breached any contractual term. The guarantee further stipulated that any extension of time granted by TCP would not absolve the supplier of liability.

Separately, even before its contract with TCP had been finalised, the trading company entered into a back-to-back arrangement with Gates Transfercenter International on Aug 27, 2005 to procure the urea.

# Costly energy, food fuel weekly inflation

By Mubarak Zeb Khan

ISLAMABAD: Short-term inflation, measured by the Sensitive Price Index (SPI), rose 13.52 per cent year on year for the week ending July 2, mainly due to higher retail prices for perishable food items, according to official data released on Friday.

A slight slowdown in short-term

inflation began, mainly due to a steep cut in petroleum product prices over the past two weeks, which had reached unprecedented levels. On a week-on-week basis, the index decreased by 0.98pc compared with the previous week, according to the Pakistan Bureau of Statistics.

The overall SPI showed a broad-based rise, indicating continued pressure on the cost of liv-

ing. The increase was largely driven by sharp year-on-year gains in key items, including electricity charges (49.14pc), wheat flour (68.47pc), and liquefied petroleum gas (44.08pc).

Food inflation remained elevated, with notable increases in the prices of onions, tomatoes, potatoes, mutton, beef and wheat flour. The government has kept petrol and diesel prices

unchanged since last Friday, despite international oil prices falling below pre-war levels.

Energy-related costs continued to weigh on household budgets and push up transport expenses across the economy. The SPI has now recorded an annual increase for the 45th consecutive week. Although the pace of growth has slowed, it reflects sustained pressure on consumers.

# PSX hits 185,000 milestone after five months

Lower oil prices and hopes of monetary easing sustain investor confidence

By Muhammad Kashif

KARACHI: The Pakistan Stock Exchange (PSX) extended its winning streak for a fourth consecutive session on Friday, with the benchmark KSE-100 index closing above the 185,000-point mark as improving geopolitical situation and macroeconomic sentiment continued to support equities.

The benchmark index gained 0.5 per cent, or 930 points, to settle at 185,464, moving closer to its record high of more than 189,000 reached on Jan 23.

According to Topline Securities, investor confidence remained buoyant amid lower international oil prices, which are

PAKISTAN STOCK EXCHANGE

T H E T O P F I V E R S

G A I N E R S

PIA Holding CoB309.14

Thal Industries105.38

Tandlianwala Sugar80.00

Bhanero Textile45.92

Premium Textile35.00

(Share values in rupees)

L O S E R S

Khairpur Sugar77.10

Service Industries65.87

Sitara Chemical46.47

Atlas Honda34.62

Rafhan Maize33.00

L E A D E R S \*

TPL REIT Fund I72.94

TPL Corp Limited48.40

TPL Properties Ltd34.28

Ghani Chemical27.42

Secure Logistics26.70

\* Volume in millions of traded shares

ACTIVITY

Total listed532

Active494

Gainers256

Losers211

PARTICIPANTS

Foreign▲\$1.58m

Companies▼\$3.15m

Banks▼\$1.67m

Mutual Funds▲\$2.70m

Individuals▼\$0.75m

I N D I C A T O R S

Friday

Previous

Change

KSE 100-SHARE INDEX (Points)

185,372.21

184,520.96

▲851.25

KSE 30-SHARE INDEX (Points)

55,404.49

55,083.19

▲321.3

MARKET CAPITAL (Rs billion)

20,762.789

20,630.631

▲132.157

TRADING VALUE (Rs billion)

42.633

55.793

▼13.160

expected to ease pressure on Pakistan's external account.

The index was lifted mainly by United Bank Ltd, Oil and Gas Development Company, Fauji Fertiliser Company,

Mari Energies and Pakistan Petroleum Ltd, which together contributed around 611 points. The exploration and production sector dominated trading by value. OGDC led with transactions

worth Rs3.08 billion, followed by Mari Energies at Rs2.43bn and Pakistan Petroleum at Rs1.81bn.

Despite the positive close, overall market participation weakened. Trading volume declined

18pc to 815 million shares, while traded value fell 23.6pc to Rs42.6bn.

Ali Najib, Deputy Head of Trading at Arif Habib Ltd, said the market recorded a mixed session, with short-term profit-tak

| ACTIVITY     |           |
|--------------|-----------|
| Total listed | 532       |
| Active       | 494       |
| Gainers      | 256       |
| Losers       | 211       |
| PARTICIPANTS |           |
| Foreign      | ▲ \$1.58m |
| Companies    | ▼ \$3.15m |
| Banks        | ▼ \$1.67m |
| Mutual Funds | ▲ \$2.70m |
| Individuals  | ▼ \$0.75m |

ing capping gains, while selective buying in banking and energy stocks kept the benchmark in positive territory.

He noted that investors remained cautious ahead of the weekend, although optimism about the economic outlook continued to underpin sentiment.

On the diplomatic front, Prime Minister Shehbaz Sharif and Army Chief Field Marshal Asim Munir led a high-level delegation to Tehran to attend the funeral of Iran's late supreme leader.

Analysts expect easing inflation, lower oil prices and growing expectations of monetary easing to remain supportive for equities, with the benchmark index seen testing fresh record highs in the coming sessions. However, they cautioned that geopolitical developments and the State Bank of Pakistan's upcoming monetary policy decision would remain key drivers of market direction in the near term.